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# SITUATIONAL ORDER FLOW

"Why be a sheep in the markets when you can be a wolf and track order flow?"

# Module 6 – Structural And Active Order Flow.

# Situational Order Flow

## Disclaimer

This course is for educational and informational purposes only and should not be considered a solicitation to buy or sell a futures contract or make any other type of investment decision. Futures trading contains substantial risk and is not for every investor. An investor could potentially lose all or more than the initial investment. Risk capital is money that can be lost without jeopardizing one's financial security or lifestyle. Only risk capital should be used for trading and only those with sufficient risk capital should consider trading. Past performance is not necessarily indicative of future results.

CFTC Rules 4.41 - Hypothetical or Simulated performance results have certain limitations, unlike an actual performance record, simulated results do not represent actual trading. Also, since the trades have not been executed, the results may have under-or-over compensated for the impact, if any, of certain market factors, such as lack of liquidity. Simulated trading programs in general are also subject to the fact that they are designed with the benefit of hindsight. No representation is being made that any account will or is likely to achieve profit or losses similar to those shown.

# Situational Order Flow

## Module 6 – Structural And Active Order Flow.

Order flow falls into two categories – Structural Order Flow and Active Order Flow.

Think of it this way, Active order flow is what is happening right now while Structural order flow is what is left behind.

# Situational Order Flow

## Module 6 – Structural And Active Order Flow.

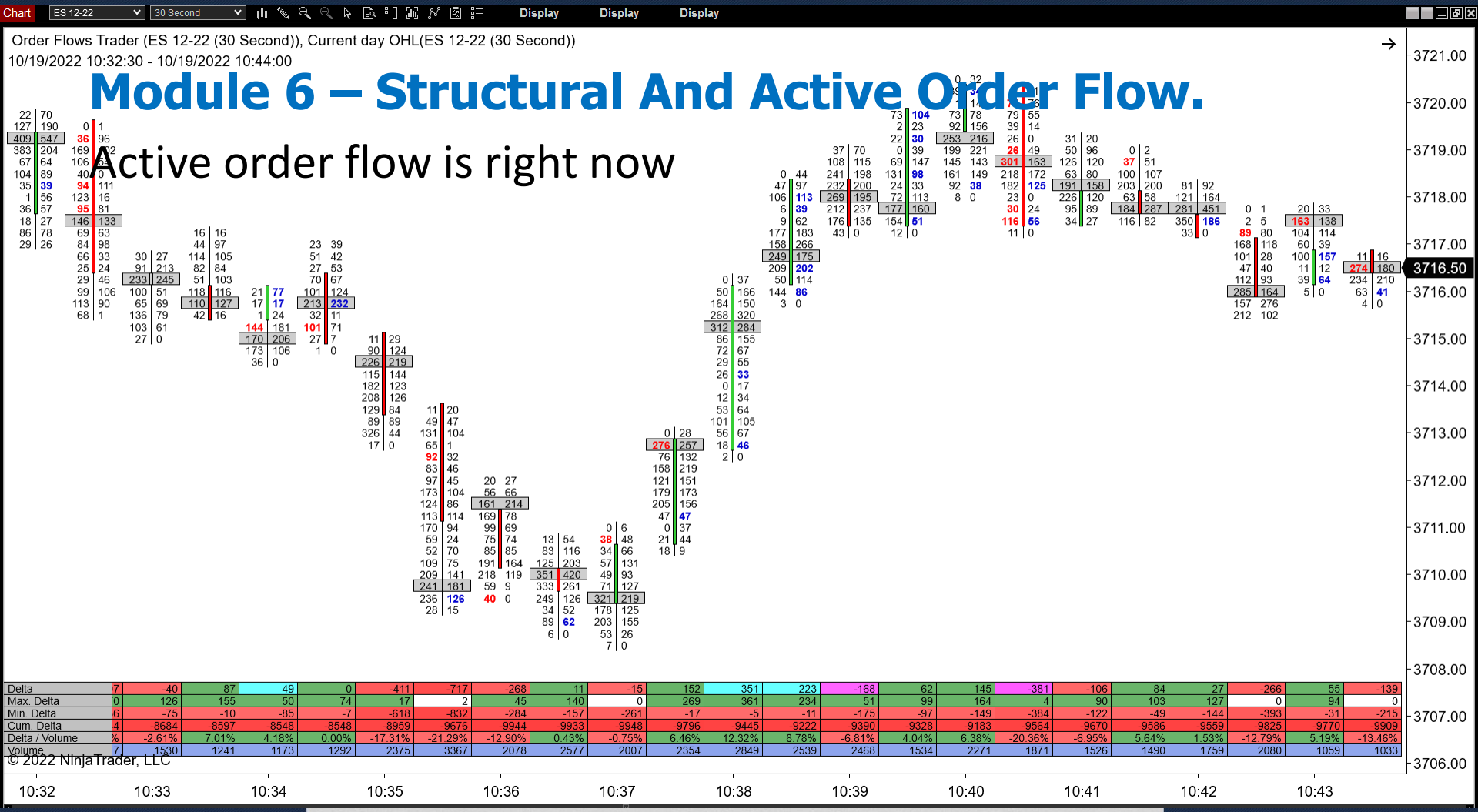
Structural order flow is the arrangement of the market from market-generated information (order flow), including support and resistance levels, highs and lows, and the current flow of buyers and sellers. It can help you understand the behavior and condition of the market, as well as identify potential opportunities.

# Situational Order Flow

## Module 6 – Structural And Active Order Flow.

Active order flow is what is happening right now and how it affects the direction of the market in the near term.

# Situational Order Flow



# Situational Order Flow

## Module 6 – Structural And Active Order Flow.

It's essential to have a clear understanding of the current market structure. This includes identifying support and resistance levels, as well as swing highs and lows. Knowing where these key levels are can help you make informed trading decisions and better anticipate market movements.

# Situational Order Flow

## Module 6 – Structural And Active Order Flow.

One of the best ways to gain an understanding of market structure is by analyzing order flow. When you start marking market structure, you can gain valuable insights into the current state of the market and where it might be headed next or return to.

# Situational Order Flow

## Module 6 – Structural And Active Order Flow.

With Structural Order Flow you can expect the market to come back to and test those levels.

With Active Order Flow you can use the information right now.

Some forms of Active Order Flow is actually poor structure that needs to be repaired.

# Situational Order Flow

## Module 6 – Structural And Active Order Flow.

Example of Structural order flow:

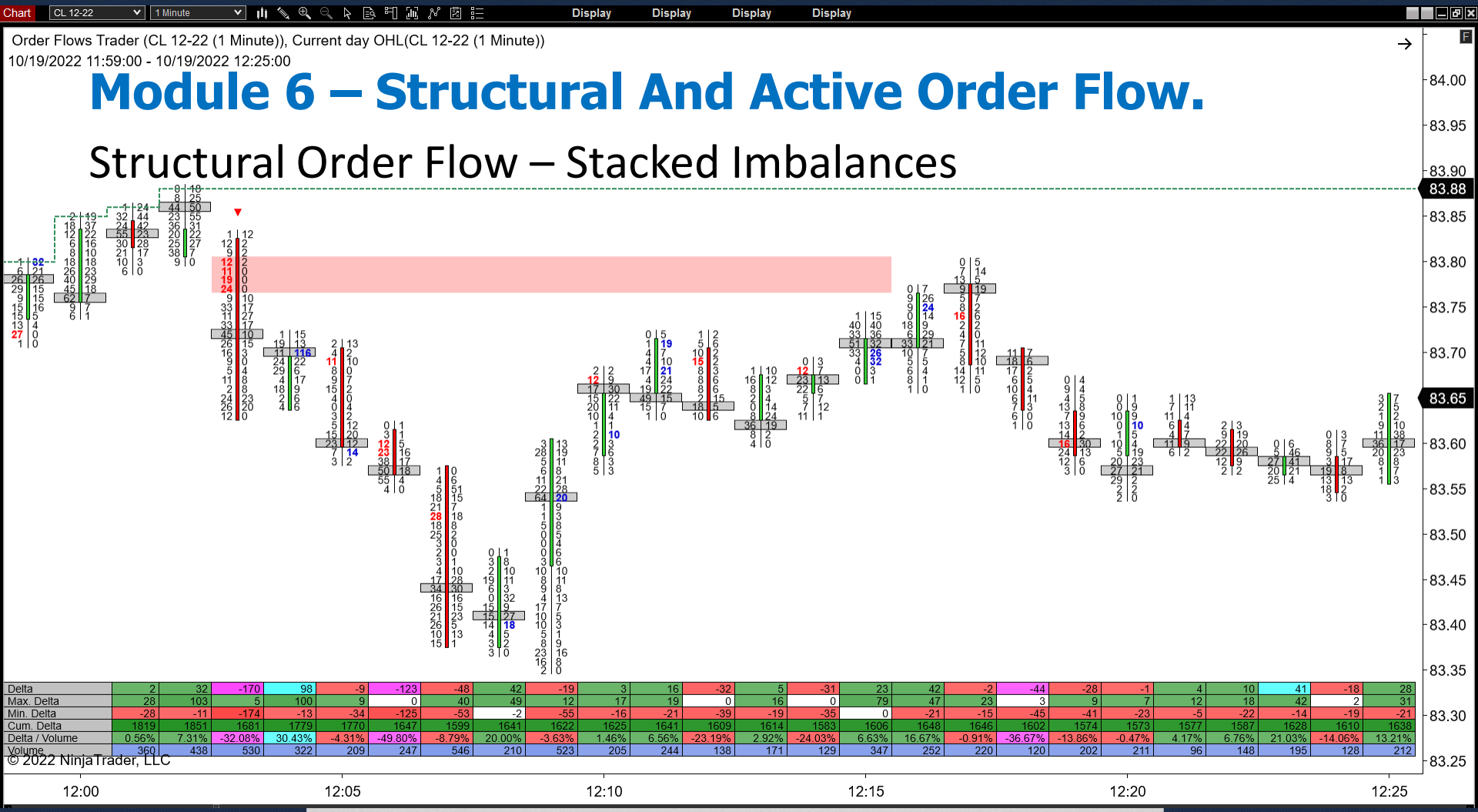
Stacked Imbalances.

Aligned POCs.

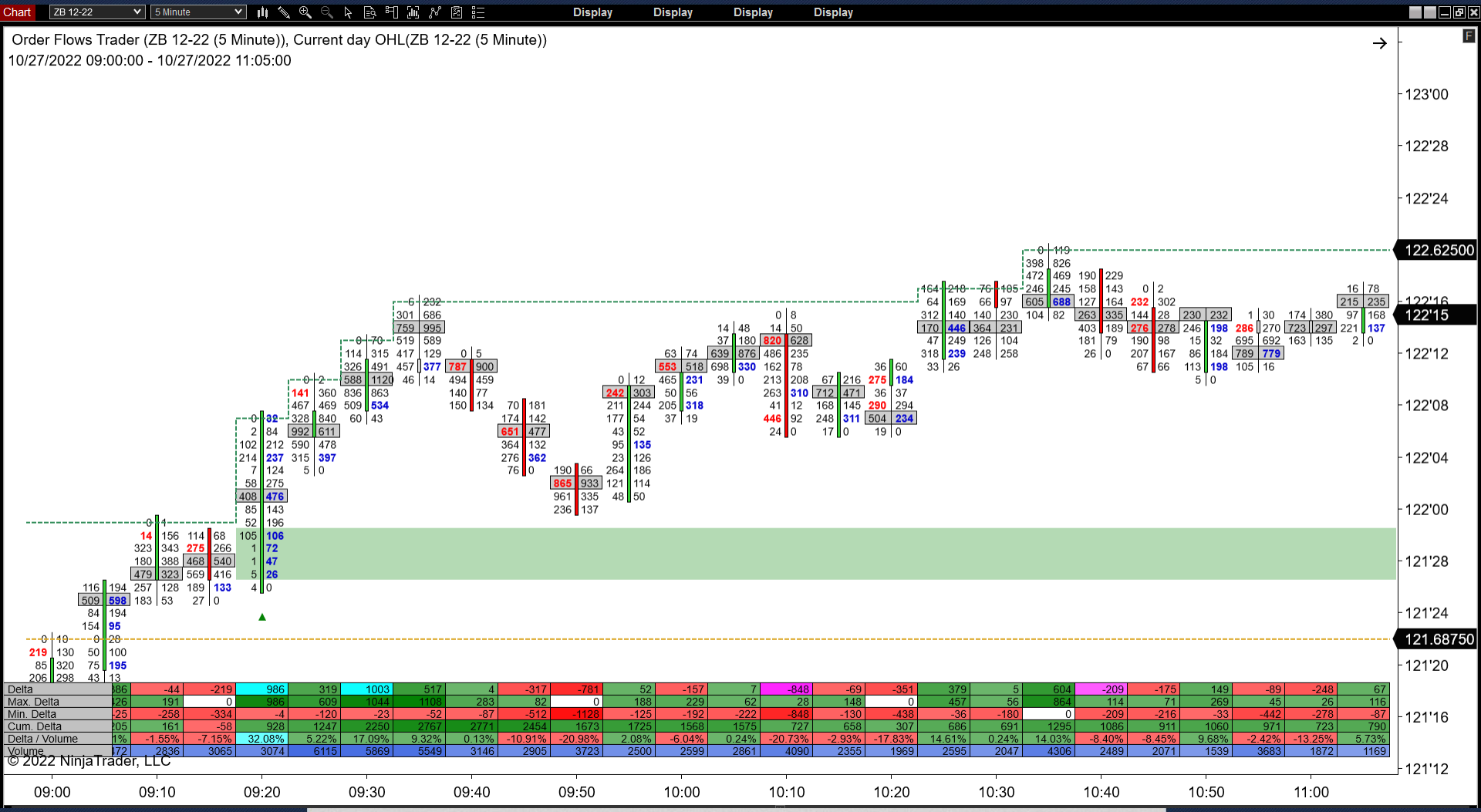
Prominent POCs.

Stopping Volume.

# Situational Order Flow



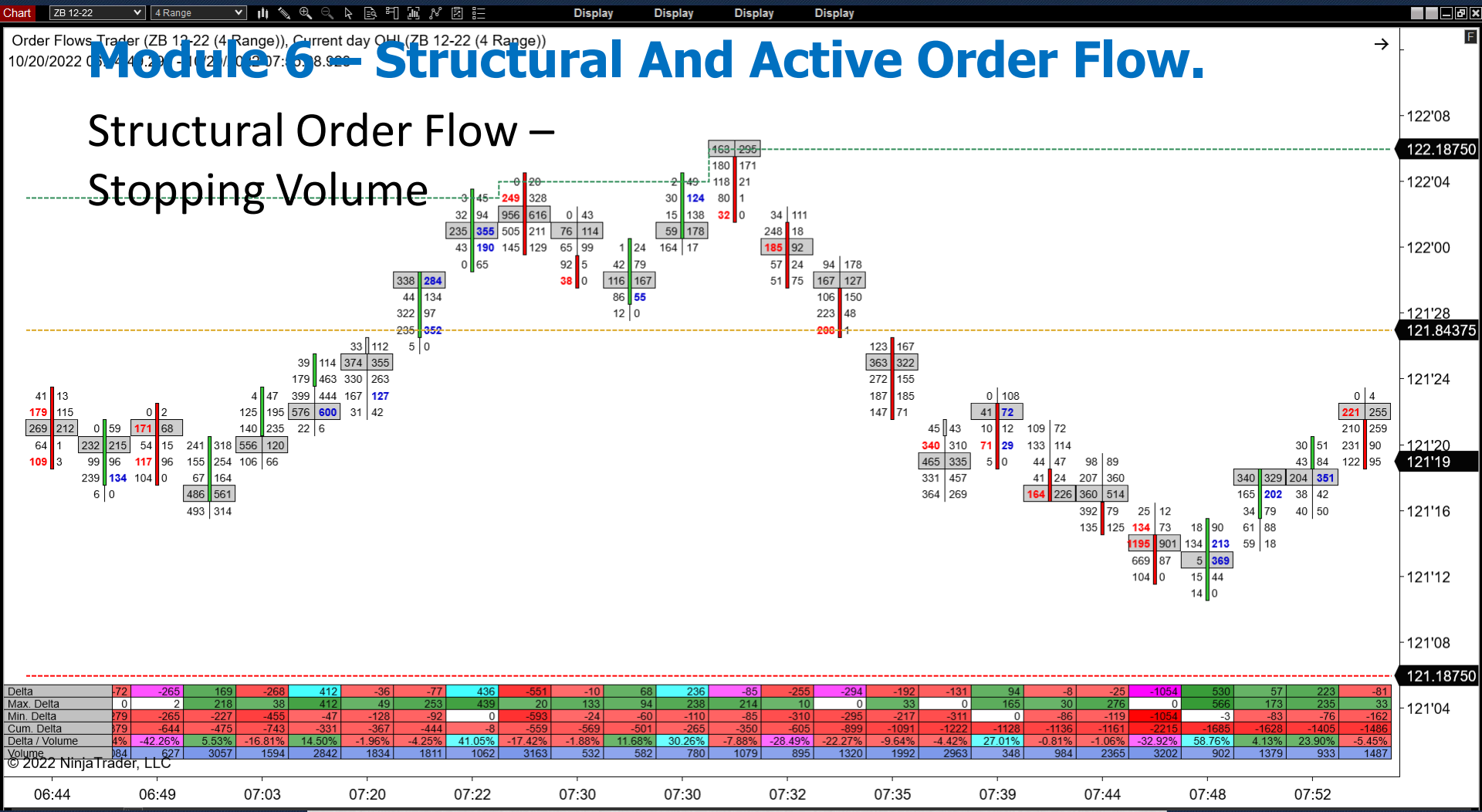
# Situational Order Flow



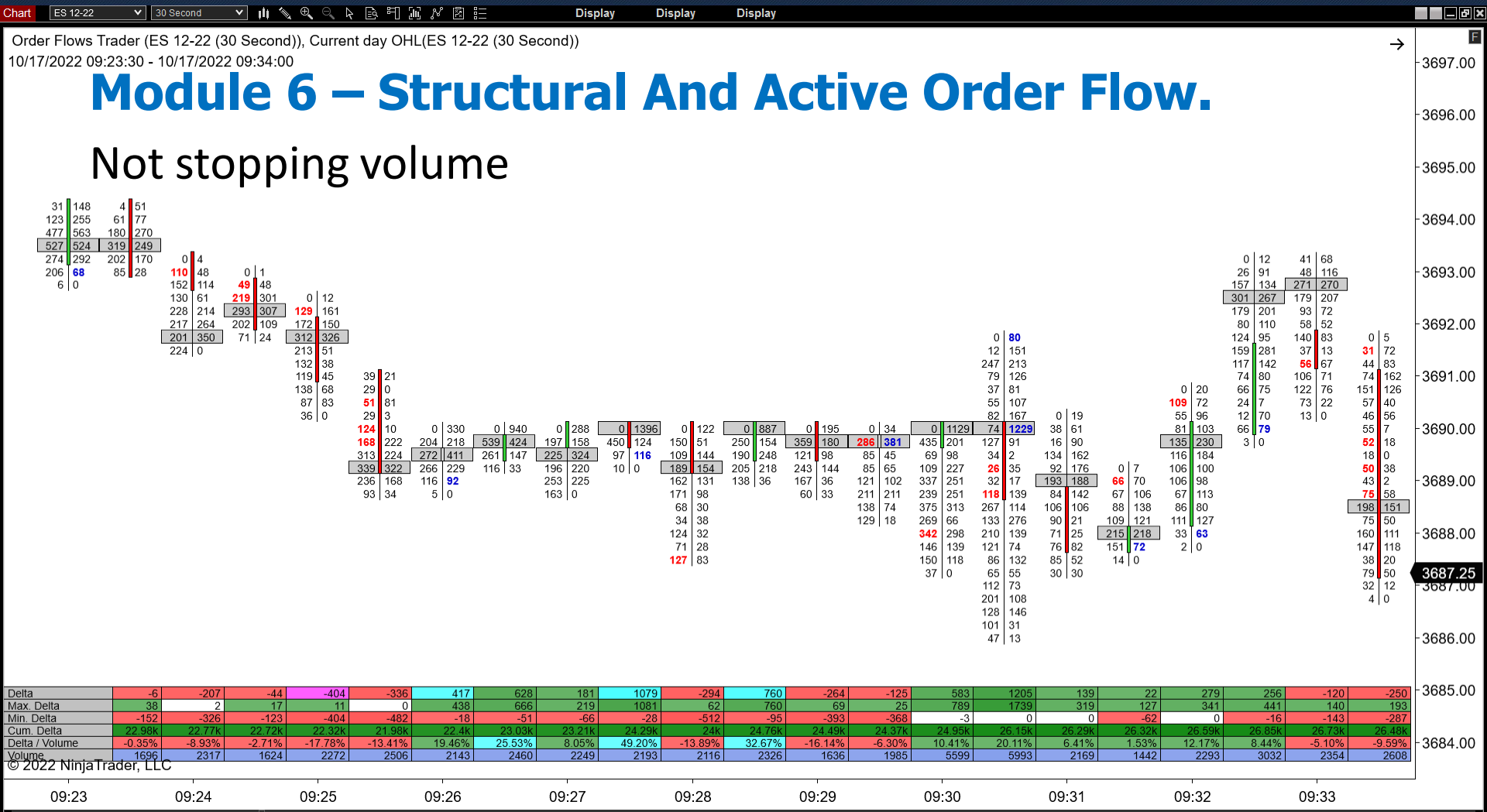
# Situational Order Flow

## Module 6 – Structural And Active Order Flow.

Structural Order Flow –
Stopping Volume



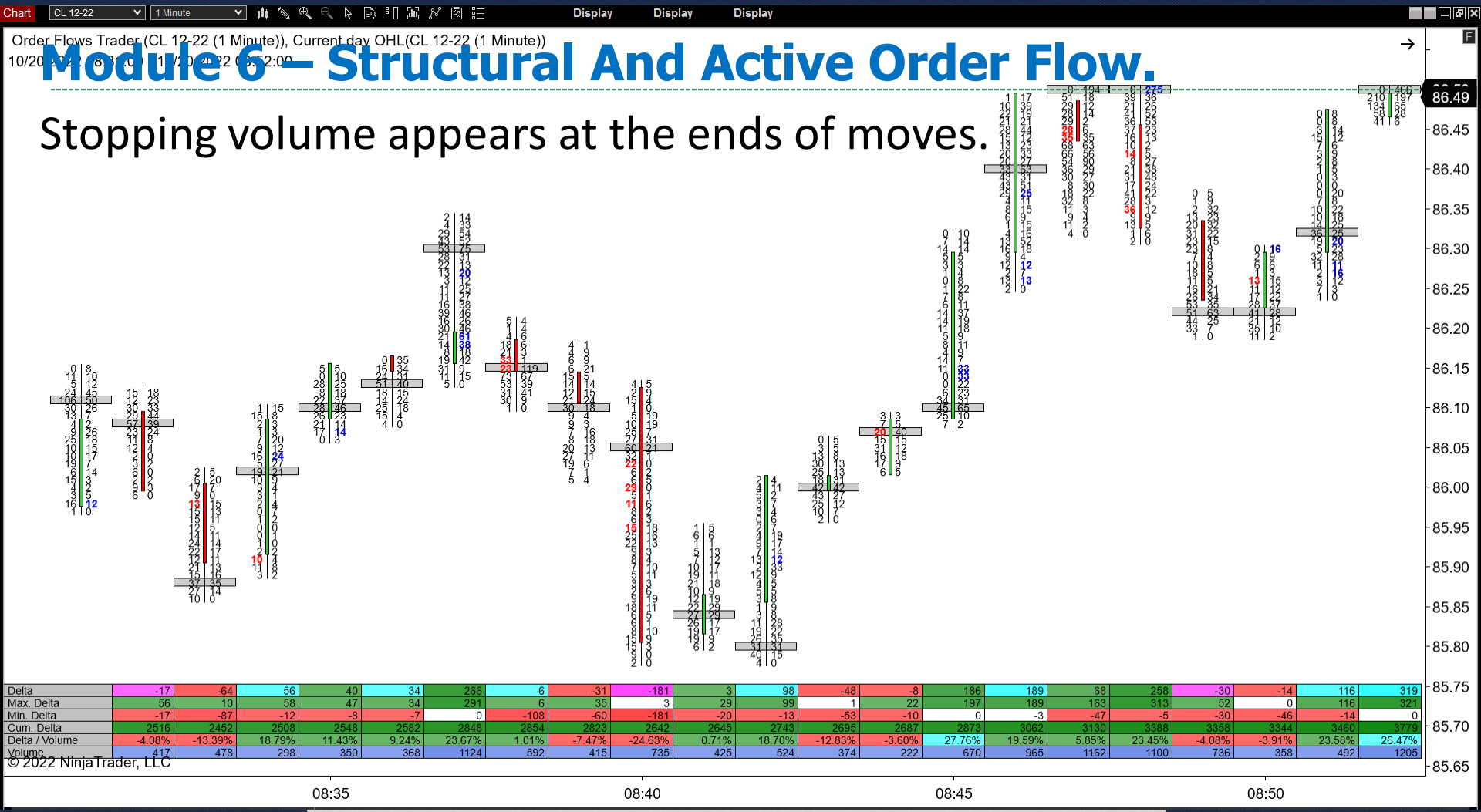
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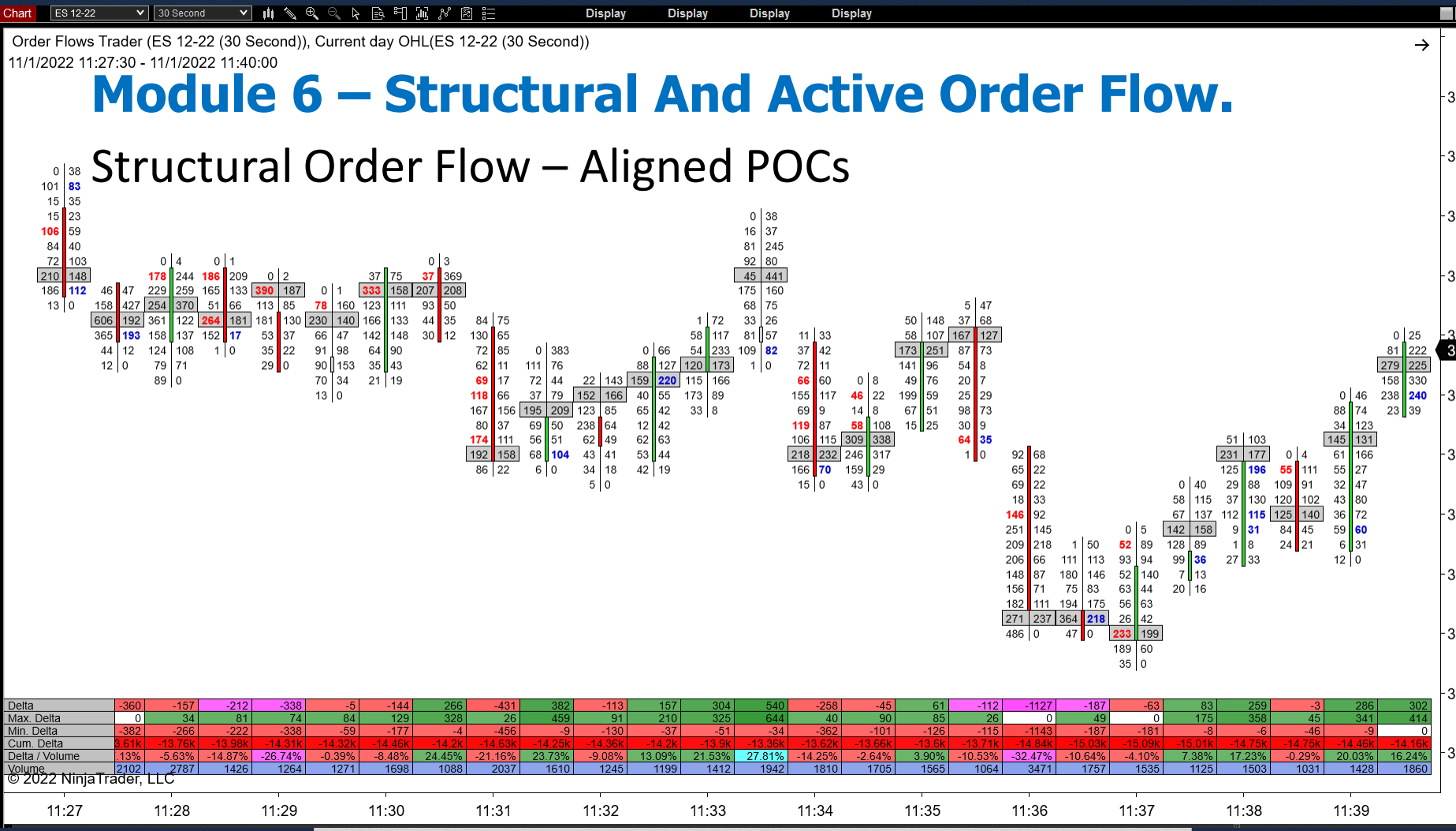
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## Module 6 – Structural And Active Order Flow.

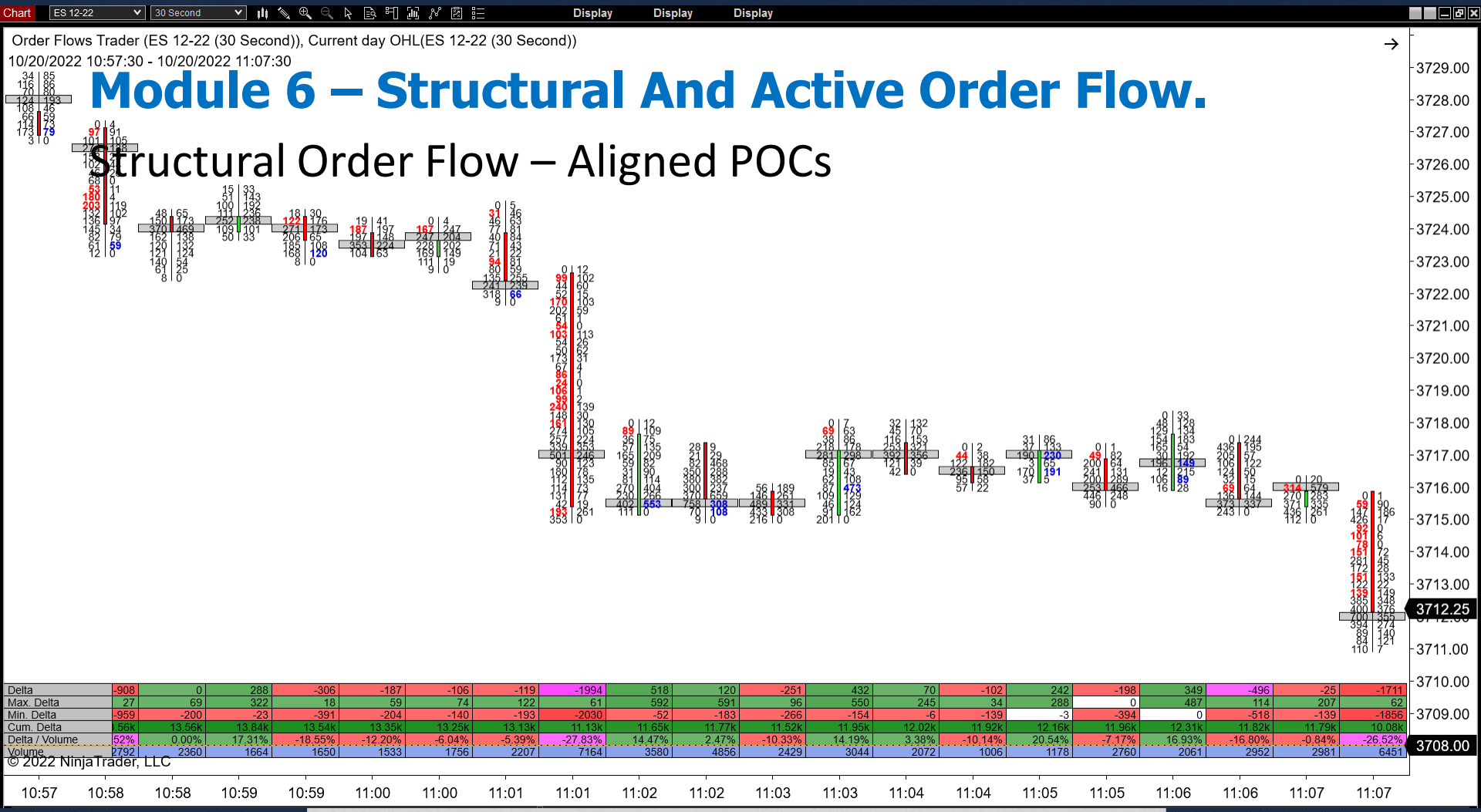
Stopping volume appears at the ends of moves.



# Situational Order Flow



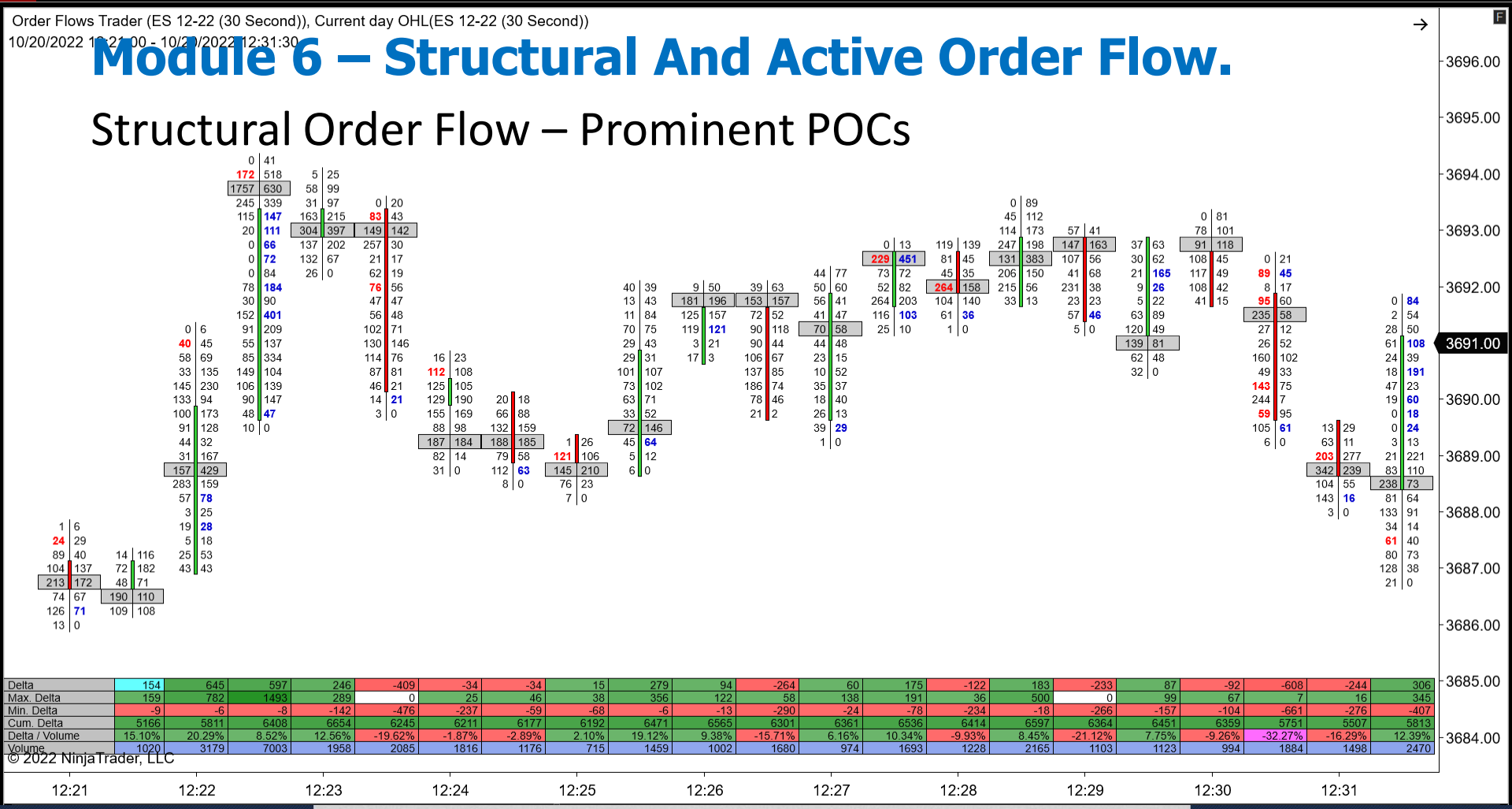
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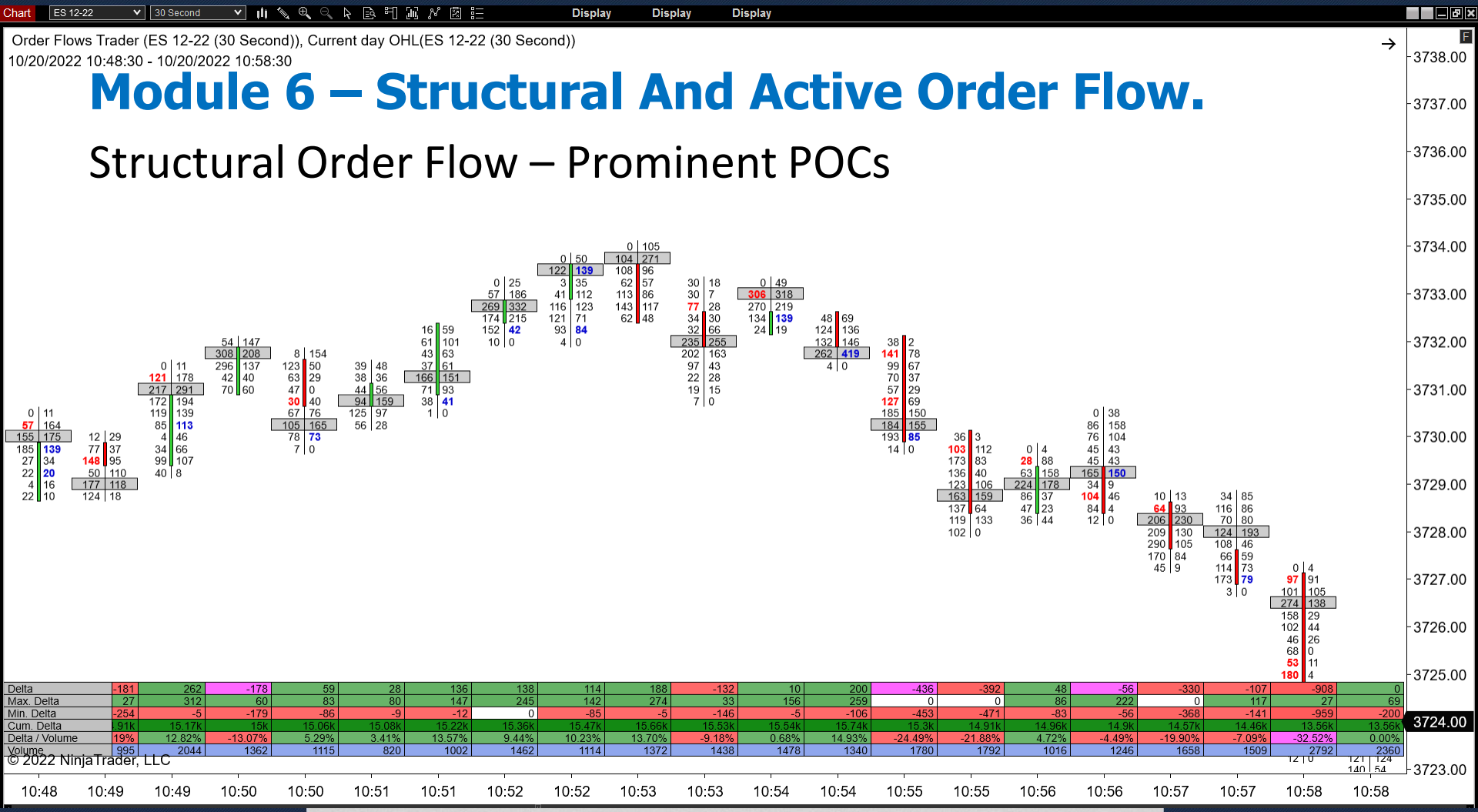
# Situational Order Flow

## Module 6 – Structural And Active Order Flow.

### Structural Order Flow – Prominent POCs



# Situational Order Flow



# Situational Order Flow

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Active order flow is how the order flow right now is affecting the next trading taking place. In other words, the importance of what is trading now and its effect on immediate price movement.

Think of Active order flow as tape reading.

# Situational Order Flow

## Module 6 – Structural And Active Order Flow.

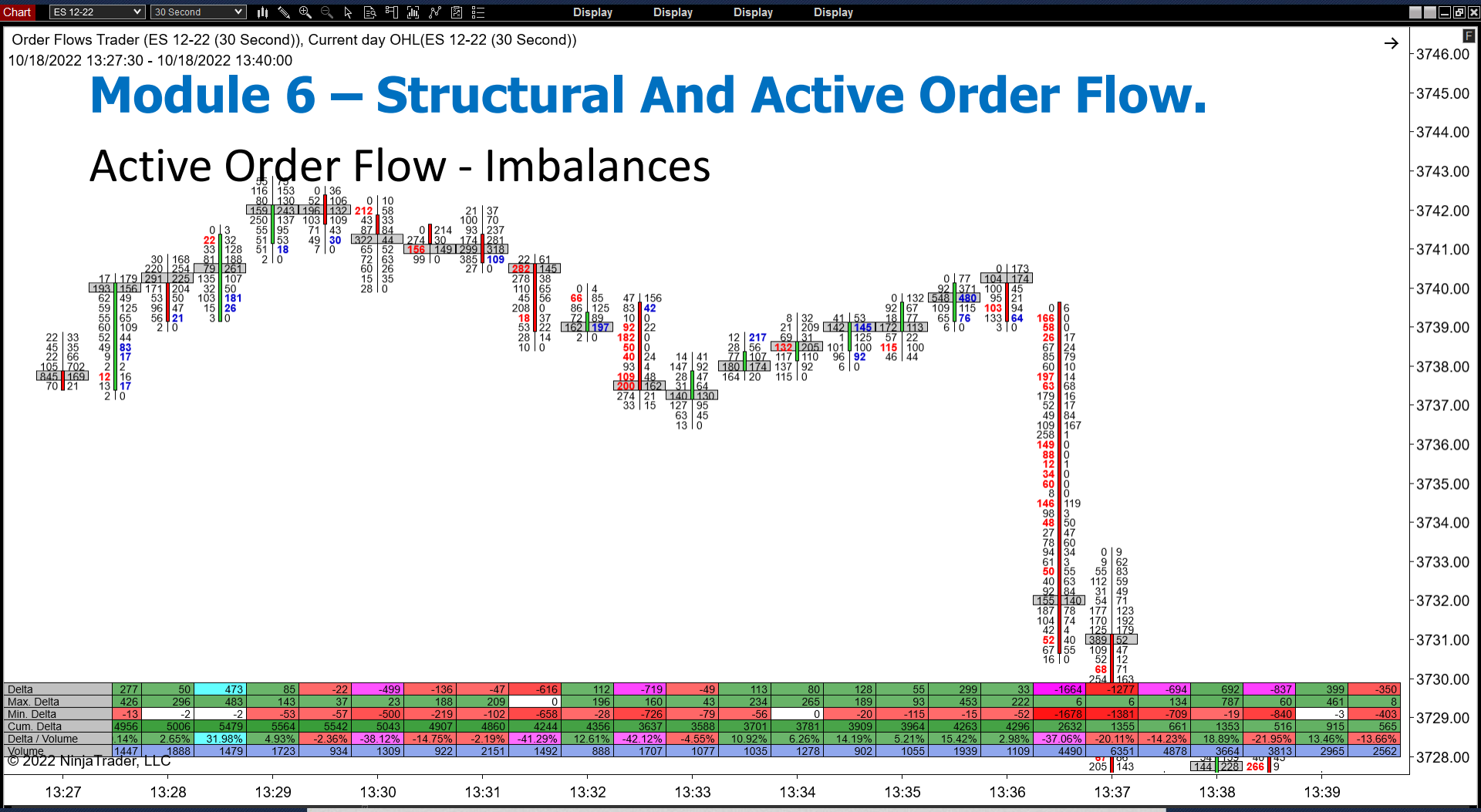
Examples of Active order flow are:

Imbalances – Individual and stacked imbalances.

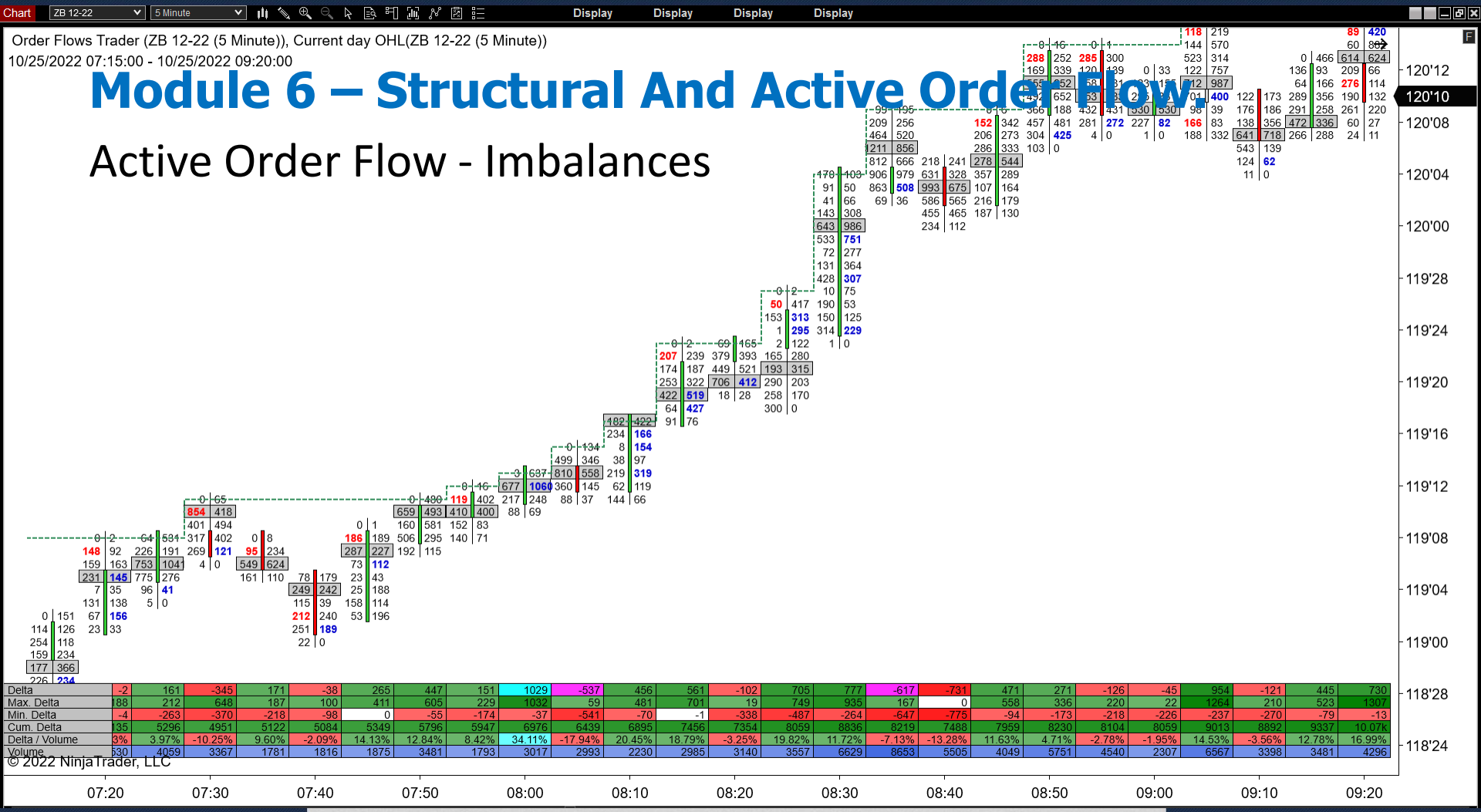
Thin prints – Momentum trades, market moving quickly.

Sweeps – Big trades lifting offers and hitting bids immediately through several price levels.

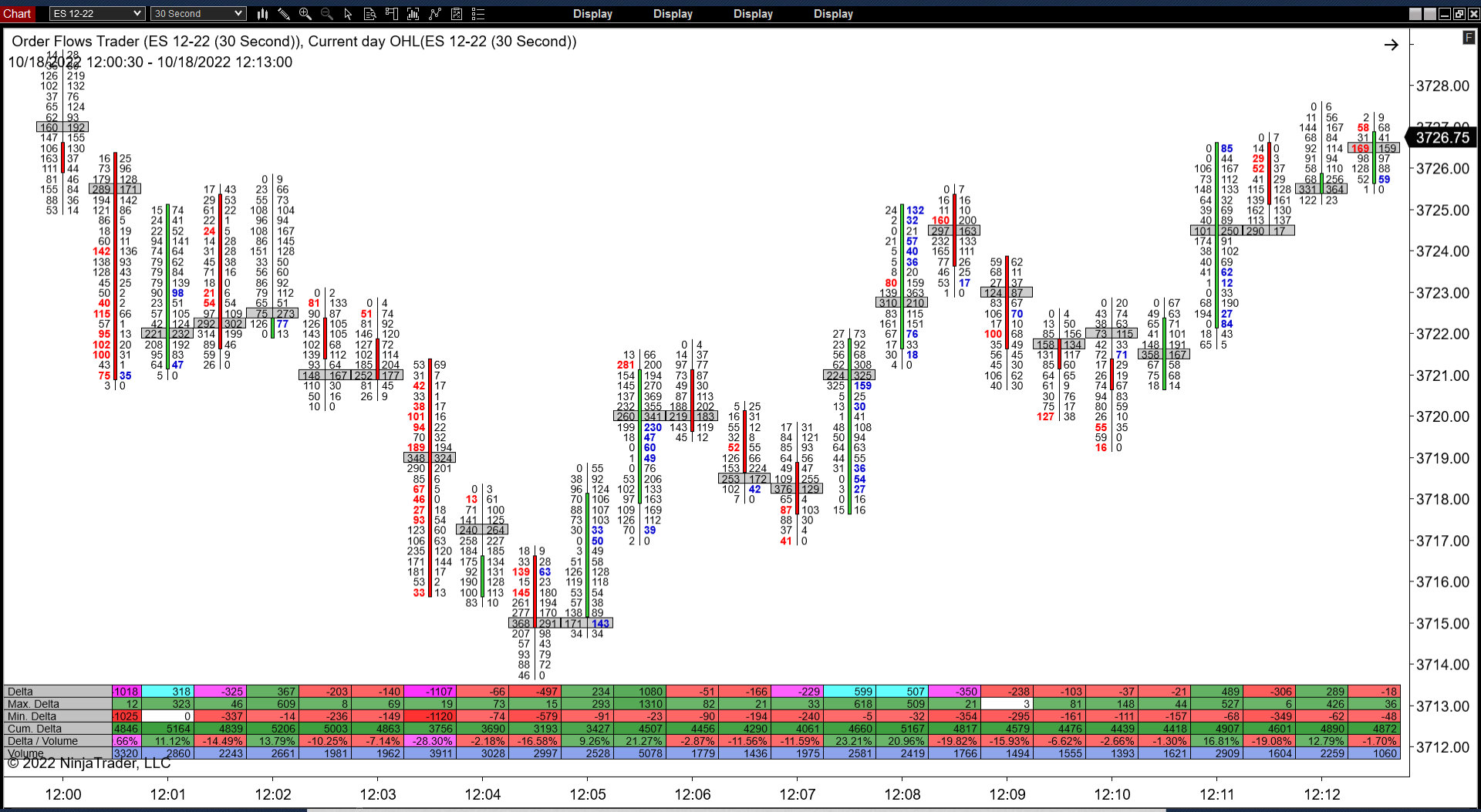
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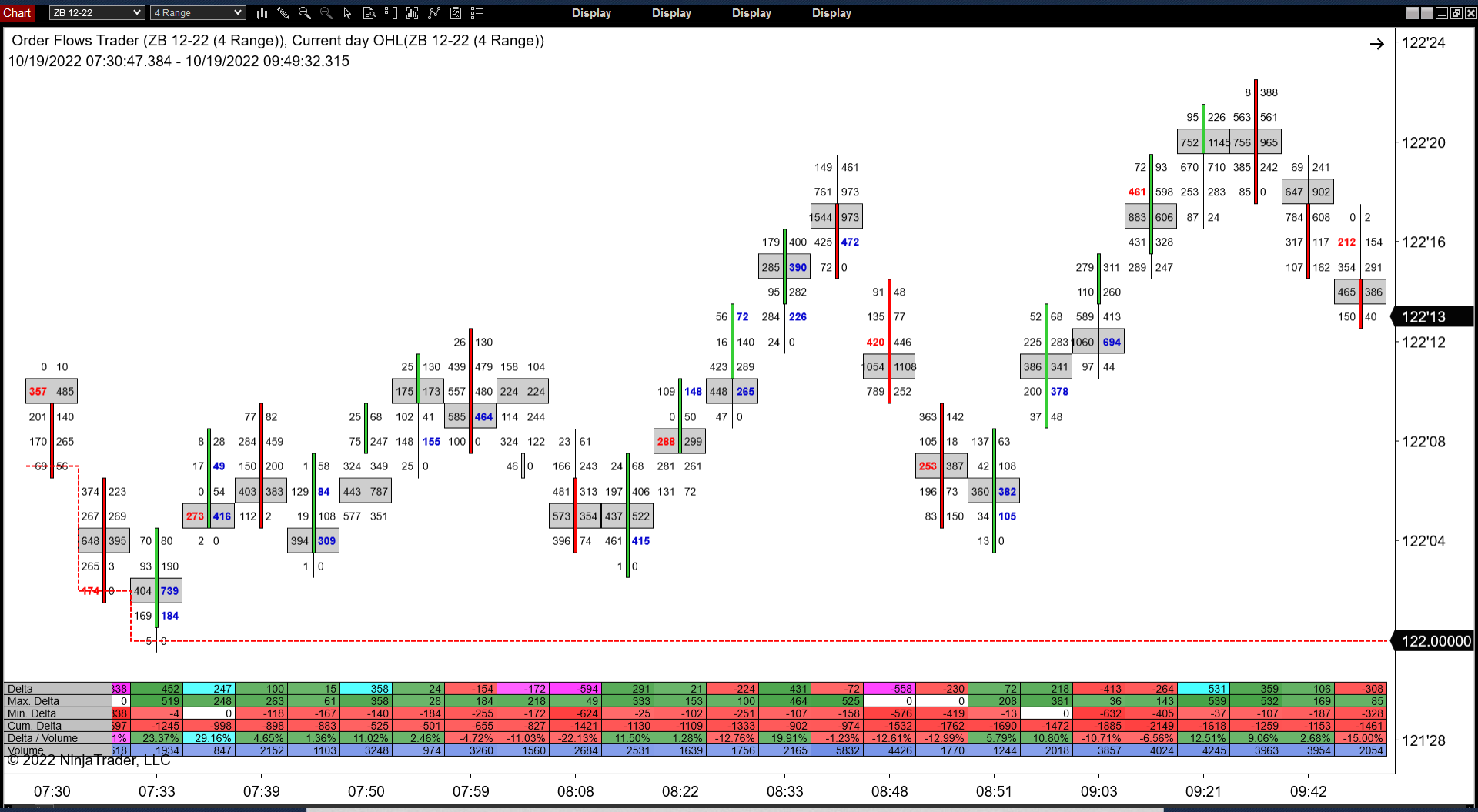
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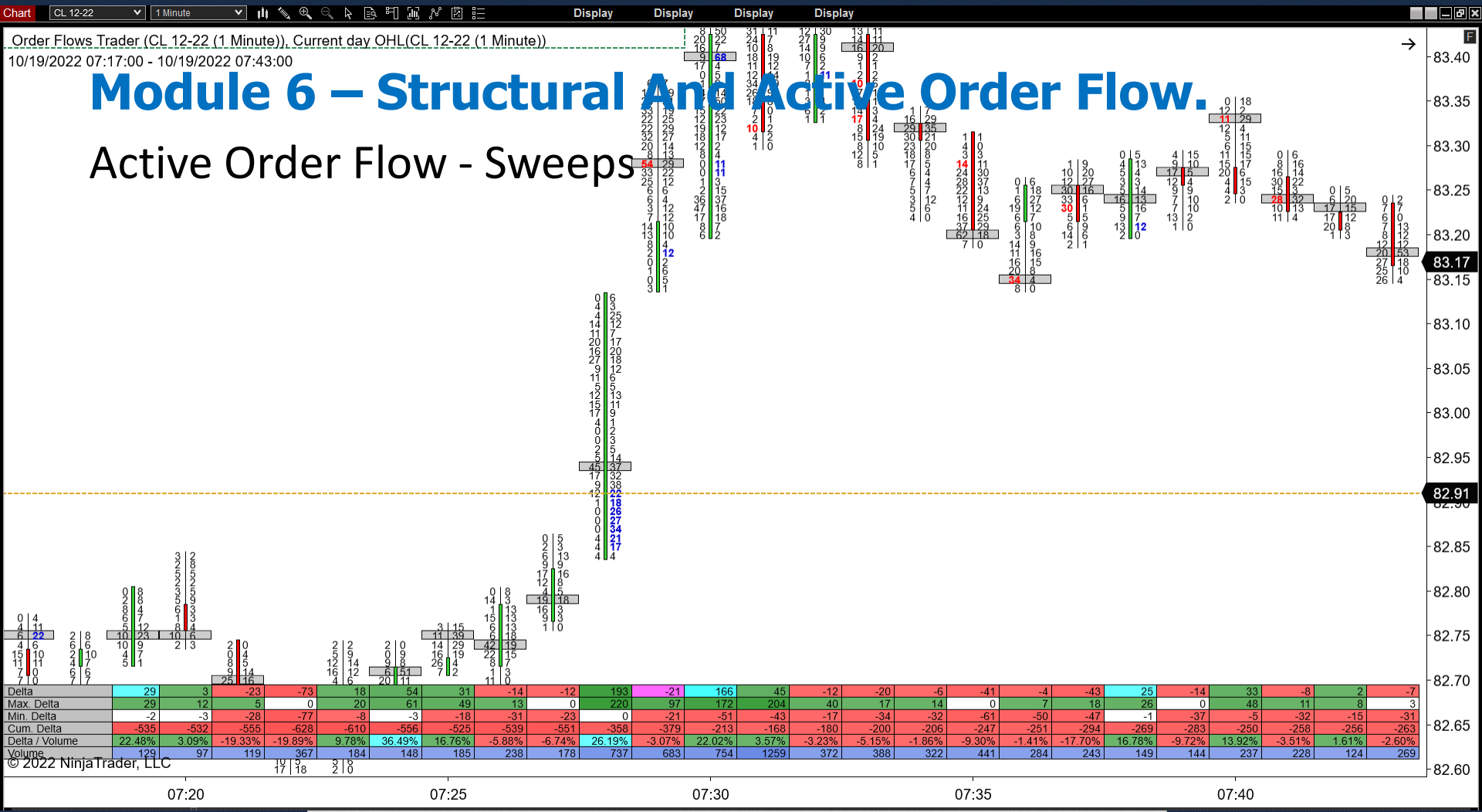
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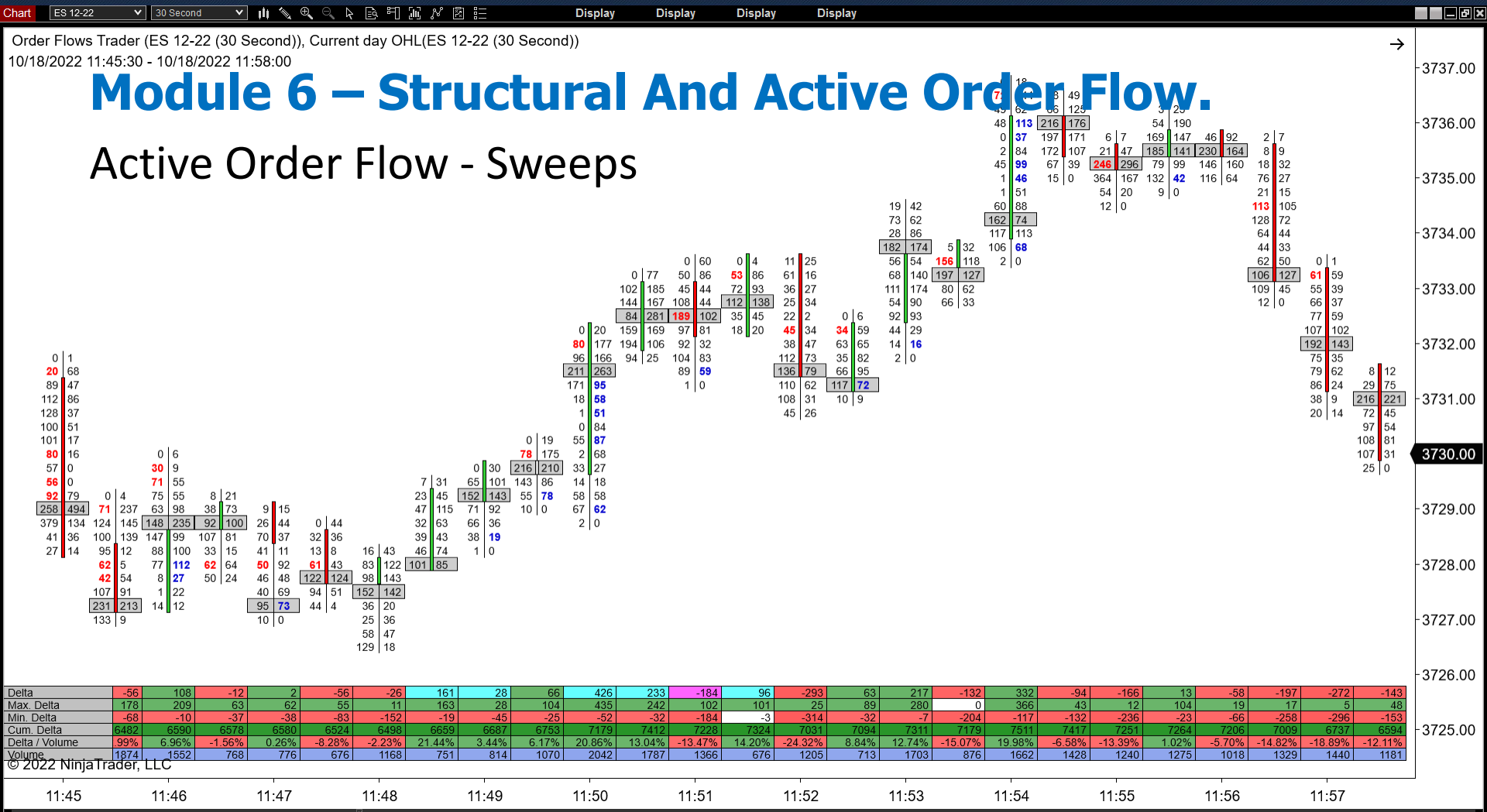
# Situational Order Flow



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I want to repeat it…

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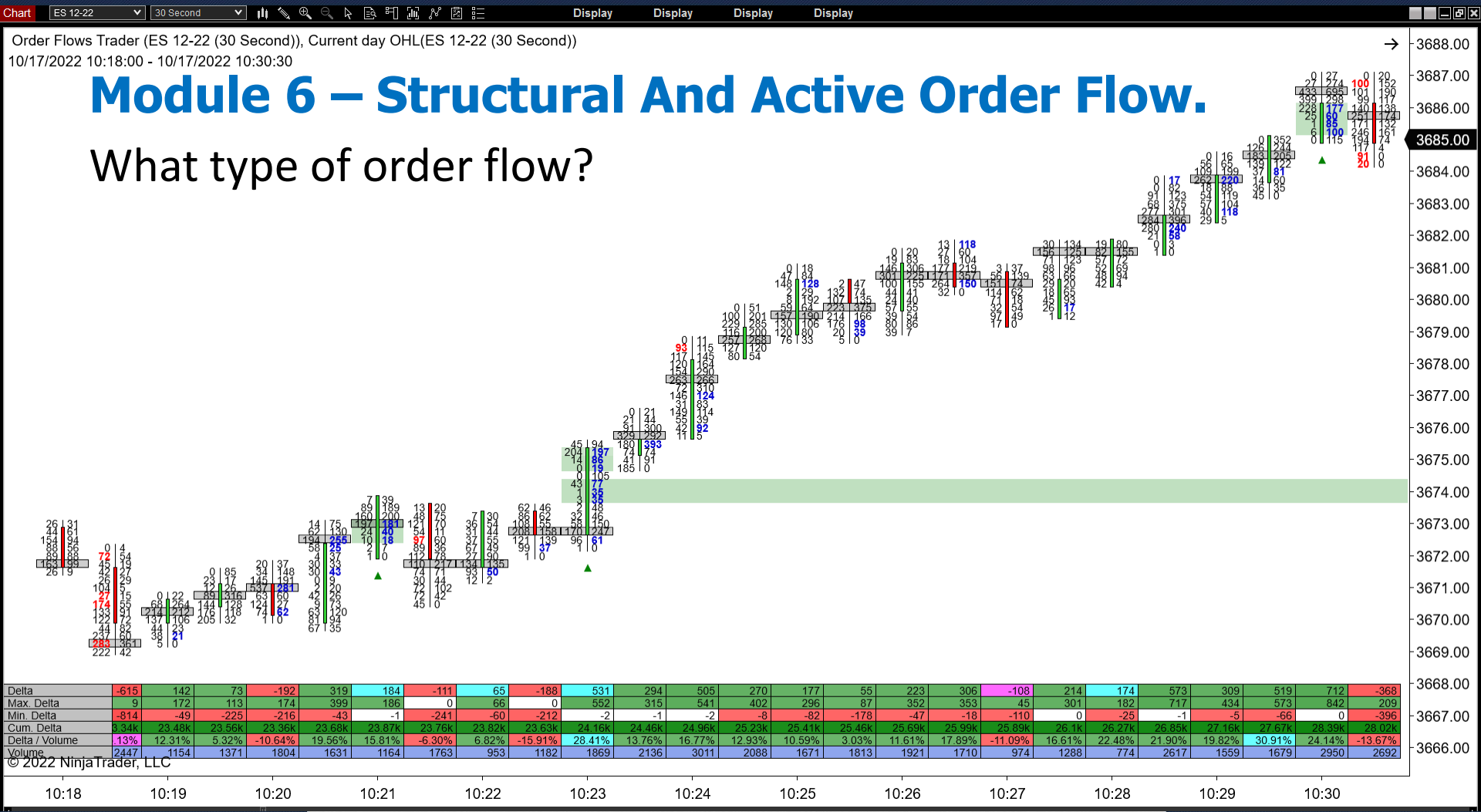
Structural order flow often represents the changes in supply and demand, and can be driven by factors such as economic news. Active order flow, on the other hand, is best taken advantage now as it is a sign of momentum.

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## Module 6 – Structural And Active Order Flow.

Being able to identify which type of order flow is driving the market can help you make more informed trading decisions. For example, if the market is being driven by structural order flow, you can expect it to return to certain levels after a move higher or lower. If the market is being driven by active order flow, on the other hand, you may need to just jump in for the ride.

# Situational Order Flow



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# THIS CONCLUDES MODULE 6

In the next module, I will discuss situational order flow setups.